

1.2 Broad Factors that Affect the Cycle

In the previous pages, we looked at the different phases of a market cycle and how they function as a whole. Now let us look at the two factors that influence this cycle, the total inflow, and outflow of capital in the markets.

Quality and quantity of earnings have an impact on the real value of a company. On the other hand, market value is largely influenced by two factors namely: Overall Sentiments and Liquidity.

